

Minnesota Funding Opportunities for JAM Construction

State-Level Programs

Minnesota Department of Employment and Economic Development (DEED)

Small Business Finance Authority (SBFA) Loan Programs

- **Loan Amount:** Up to \$1.5 million
- **Interest Rates:** Typically prime rate + 1-2% (currently around 6-8%)
- **Terms:** Up to 10 years for working capital, up to 25 years for real estate
- **Requirements:**
 - Minnesota-based business
 - Good credit (typically 650+)
 - Business plan and financial projections
 - Collateral (often 50-80% of loan amount)
- **Application Process:** 4-8 weeks
- **Contact:** (651) 296-3703

Microenterprise Loans

- **Loan Amount:** Up to \$50,000
- **Interest Rates:** 3-7%
- **Terms:** Up to 7 years
- **Requirements:**
 - 1-5 employees
 - <\$250,000 in annual revenue
 - Personal guarantee
- **Special Features:** May offer technical assistance alongside funding

DEED Business Expansion Grant Program

- **Grant Amount:** Up to \$100,000 (matching funds required)
- **Eligibility:** Expanding Minnesota businesses creating jobs
- **Requirements:**
 - Create or retain 1 job per \$3,000 of grant
 - Demonstrate economic impact
 - Located in Minnesota

Minnesota Housing Finance Agency (MHFA)

- **Programs:** Small business loans for community development
- **Focus:** Projects that support housing development
- **Loan Amount:** Varies by program

Federal Programs Available in Minnesota

U.S. Small Business Administration (SBA) Loans

SBA 7(a) Loan Program

- **Loan Amount:** Up to \$5 million
- **Guarantee:** Up to 85% for loans under \$150,000; 75% for larger loans
- **Interest Rates:** Prime rate + 2.25-4.75% (capped at 14.5%)
- **Requirements:**
 - For-profit business
 - Demonstrates need for funding
 - Exhausts alternative funding sources
 - Personal guarantee (20%+ ownership)

SBA Express Loan Program

- **Loan Amount:** Up to \$500,000
- **Processing:** Decision within 36 hours
- **Interest Rates:** Prime + 4.5-6.5%
- **Features:** Streamlined application

SBA Microloan Program

- **Administered by:** Nonprofit intermediaries
- **Loan Amount:** Up to \$50,000 (typically \$13,000 average)
- **Interest Rates:** 8-13%
- **Terms:** Up to 6 years

Minnesota-Specific Organizations

Northstar Small Business Development Center (NSBDC)

- **Services:** Business counseling, training, and loan assistance
- **Funding Connection:** Helps connect businesses with appropriate lenders
- **Location:** Multiple locations across Minnesota
- **Cost:** Free business counseling services

Women's Business Centers (WBE MN)

- **Focus:** Women-owned businesses
- **Services:** Training, counseling, and access to capital
- **Funding:** Connections to specialized loan programs

SCORE Twin Cities

- **Services:** Free mentoring and business advice
- **Funding Guidance:** Help preparing for loan applications
- **Workshops:** Financial planning and funding preparation

Community Development Financial Institutions (CDFIs) in Minnesota

Opportunity Finance Network Members

- **Mission:** Serve low-to-moderate income communities
- **Products:** Loans to underserved markets
- **Examples in MN:**
 - Metropolitan Economic Development Association (MEDA)
 - Northside Achievement Zone
 - Neighborhood Development Fund

Local Credit Unions

- **Advantages:** Relationship-based lending
- **Examples:**
 - Minnesotans Federal Credit Union
 - Lake Superior Federal Credit Union
 - South Central Federal Credit Union

Alternative Funding Sources

Online Lenders

- **Kabbage:**
 - Up to \$250,000
 - Based on business performance
 - Faster approval process
- **Fundbox:**
 - Invoice-based lending
 - Up to \$100,000
 - Good for cash flow management
- **OnDeck:**
 - Up to \$500,000
 - Technology-based underwriting
 - Faster decisions

Peer-to-Peer Lending

- **Prosper:** Personal loans that can be used for business
- **LendingClub:** Similar to Prosper

Specialized Construction Industry Funding

National Association of Surety Bond Producers (NASBP)

- **Resources:** Information on bonding and financing
- **Connections:** Links to surety companies

Construction Financial Management Association (CFMA)

- **Resources:** Industry-specific financial guidance
- **Networking:** Connections to construction-focused lenders

Grant Opportunities

Rural Development Business Grants (USDA)

- **Eligibility:** Rural areas of Minnesota
- **Amount:** Up to \$500,000
- **Requirements:** Job creation, rural economic development

Small Business Innovation Research (SBIR)/Small Business Technology Transfer (STTR)

- **Eligibility:** Research and development projects
- **Amount:** Up to \$1.7 million (phase I and II combined)
- **Agency Example:** NIST Manufacturing USA Institutes

Preparing for Funding Applications

Required Documentation

1. **Business Plan:** Detailed plan including market analysis
2. **Financial Projections:** 3-5 year projections
3. **Personal Financial Statement:** For owners with >20% stake
4. **Tax Returns:** Personal and business (if applicable) for past 2-3 years
5. **Credit Reports:** Personal credit for key principals
6. **Bank Statements:** Recent business and personal
7. **Collateral Documentation:** Property deeds, equipment lists, appraisals
8. **Legal Documents:** Business formation documents, licenses

Improving Approval Odds

1. **Strong Credit Score:** Aim for 680+ personal credit score
2. **Down Payment:** 10-30% depending on program
3. **Cash Reserves:** 6-12 months of operating expenses
4. **Industry Experience:** Document your girlfriend's commercial construction experience
5. **Market Validation:** Show demand for your services (letters of intent, pilot projects)

Minnesota-Specific Advantages

Geographic Preferences

- Some programs favor Greater Minnesota over Twin Cities

- Rural development programs for qualifying areas
- Regional economic development initiatives

Industry Preferences

- Programs supporting construction industry
- Infrastructure-related opportunities
- Energy efficiency and green building incentives

Demographic Preferences

- Programs supporting women/minority-owned businesses
- Veteran entrepreneur programs
- Young entrepreneur initiatives

Application Timeline and Process

Pre-Application (Weeks 1-2)

- Gather required documentation
- Complete business plan and financial projections
- Check credit reports
- Identify potential collateral

Application Submission (Week 3)

- Submit to primary choice
- Apply to secondary options simultaneously
- Prepare for potential interviews

Underwriting Process (Weeks 4-8)

- Lender verification of information
- Collateral evaluation
- Credit analysis
- Final approval decision

Recommended Approach for JAM Construction

Priority Funding Sequence:

1. **DEED SBFA Microenterprise Loan** (Immediate priority)
 - Matches your estimated funding needs (\$8,000)
 - Good interest rates
 - State support for Minnesota businesses
2. **SBA Microloan** (Backup option)
 - Administered through local intermediaries
 - Good for startup businesses

- Technical assistance often included
- 3. **Community Development Financial Institution (CDFI)**
 - Mission-driven lenders
 - Relationship-based underwriting
 - May offer more flexible terms
- 4. **Local Credit Union**
 - Relationship banking approach
 - Potentially more understanding of local market
- 5. **Online Alternative Lender**
 - As backup for speed
 - Higher cost but faster access

Application Strategy:

- Start with DEED SBFA as primary target
- Simultaneously research and apply to 1-2 other programs
- Prepare strongest application possible for first submission
- Leverage your girlfriend's commercial experience as a competitive advantage
- Emphasize the market opportunity in the Twin Cities construction market

Contact Information for Funding Programs

DEED Small Business Finance Authority

- **Phone:** (651) 296-3703
- **Website:** www.mn.gov/deed/business/business-finance/sbfa/
- **Address:** 30 Englewood Street, Suite 200, St. Paul, MN 55107

Minnesota Small Business Development Centers

- **NSBDC:** (612) 334-3456
- **Website:** www.nsbsdc.org

SBA Minnesota Office

- **Phone:** (612) 370-4500
- **Website:** www.sba.gov/offices/district/mn/mps

This comprehensive list of funding opportunities provides multiple paths to secure the capital needed for JAM Construction while taking advantage of Minnesota-specific programs and resources.